India had to face severe criticism from almost every quarter of the economy concerned. although the reforms were aimed to boost growth and deliver competitiveness to the economy.[13]

Reform Measures

The economic reform programme, that India launched, consisted of ***two*** categories of measures:

(i) Macroeconomic Stabilisation Measures:

It includes all those economic policies which intend to boost the aggregate ***demand*** in the economy—be it domestic or external. For the enhanced domestic demand, the focus has to be on increasing the purchasing power of the masses which entails an emphasis on the creation of the gainful and quality employment opportunities.

(ii) Structural Reform Measures:

It includes all the policy reforms which have been initiated by the government to boost the aggregate supply of goods and services in the economy. It naturally entails unshackling the economy so that it may search for its own potential of enhanced productivity and production. For the purchasing capacity of the people to be increased, the economy needs increased income which comes from increased levels of activities. Income so increased is later distributed among the people whose purchasing power has to be increased—this will take place by properly initiating a suitable set of the macroeconomic policies. For the income to get distributed among the target population, it takes time but the efforts a government initiates to increase the supply i.e. increasing production becomes visible soon. As production is done by the producers (i.e the capitalists), *prima facie* the structural reform measures look ‘pro-rich’ and ‘pro-industrialist’ or ‘pro-capitalist’, known with different names. Ignorant people easily get swayed by the logic that everything which is ‘pro-rich’ has to be necessarily ‘anti-poor’. But it was not the case with the process of economic reforms. Unless the economy is able to achieve higher growth (i.e. income) wherefrom the